

2. The U.S. economy was just as sound on the following Monday morning, when the stock exchange reopened.

3. The economy was basically no less sound when trading ended on that hectic Monday. Few—if any—

industrial orders were canceled. Few—if any—jobs were lost. Few—if any—business establishments were forced to close their doors. Few—if any—investors, large or small, were completely wiped out as so many had been in 1929.

I realize that all this is scant comfort to those who lost money when stock prices fell on May 28. It can only be hoped that they will profit from the painful lesson.

The wise investor will recognize that many stocks being offered on the market are still considerably *underpriced*.

For example, there are many issues selling for as little as one-third or even one-fourth the net, per-share liquidation values of the issuing company's assets. To understand what this can mean to the stockholder, consider the case of the Honolulu Oil Company.

A few years ago, the directors and stockholders of the Honolulu Oil Company decided for reasons of their own to dissolve the company. One company in which I hold a substantial interest and another oil company learned of this decision and together signified their desire to buy Honolulu Oil's assets.

The stockholders of Honolulu Oil had their choice of two ways in which they could sell their company's assets. First,

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they could sell their stock to the two buying companies. Or, alternatively, they could hold their stock, sell the actual assets and distribute the proceeds among themselves before formally dissolving their company.